

BITS PILANI, DUBAI CAMPUS

Dubai International Academic City, U.A.E.

Semester II 2022-23

Quiz I (Closed BOOK)

Course No: HSS F211

Course Title: Modern Political Concepts

Date: March 9, 2023

Time: 10 mins

Maximum Marks: 10

Weightage: 10

Note: Choose the most appropriate answer. Only **one**.

Q 1. Which one of the following forms of Feminism believes that equality in society can be brought by changing the capitalist mode of production?

- a) Radical Feminism
- b) Socialist feminism
- c) Liberal Feminism

Q2. The Liberalist believe in the “night watchmen” state. Which of the following option appropriately conveys the concept of nightwatchmen?

- a) State should provide nightwatchmen to its citizens so that they live in peace.
- b) State should not do business and provide security to people.
- ☒ c) State should have a limited role in the citizen’s affairs and should not intervene in the market.
- d) State should be more powerful so that it should act like a night watchman.

Q3. Political Philosopher Bertolt Brecht believed that the prices of the goods that we consume are determined by.....

- a) Demand and supply in the market
- b) Political decisions
- c) By consumer behaviors
- d) Central banks of the country

Q4.The end goal of Revolutionary Socialism is....

- a) Creating a classless society
- b) Forming a pro-worker party
- c) Controlling the state by all means
- d) None of the Above

Q5. Everything in society, including marriage and divorce, should be based on consent is the key idea of which of the following political concepts/ideologies ?

- a) Liberalism
- b) Socialism
- c) Feminism

- d) Communism

Q6. According to Einstein man is

- a) Social being
- b) Solitary being
- c) Both a) and b)
- d) None of the above

Q7. According to Einstein man can find meaning to life by

- a) Fulfilling his individual needs and aspirations
- b) devoting himself to society
- c) discovering new things as he himself did
- d) None of the above

Q8. According to Einstein, the payment of the worker is

- a) determined by the value of his product.
- b) Determined by his skills
- c) Determined by capitalists' requirements for labor power in relation to the number of workers competing for jobs.
- d) All of the above

Q8 “ Private capital tends to become concentrated in few hands, partly because of competition among the capitalists, and partly because technological development and the increasing division of labor encourage the formation of larger units of production at the expense of smaller ones. The result of these developments is an oligarchy of private capital the enormous power of which cannot be effectively checked even by a democratically organized political society. This is true since the members of legislative bodies are selected by political parties, largely financed or otherwise influenced by private capitalists who, for all practical purposes, separate the electorate from the legislature.”

Convey the essence of Einstein argument in one sentence (use the space below)

Q9. Under existing conditions, private capitalists inevitably control, directly or indirectly, the main sources of information (press, radio, education). It is thus extremely difficult, and indeed in most cases quite impossible, for the individual citizen to come to objective conclusions and to make intelligent use of his political rights.

How would you relate Einstein arguments made above in the present scenario. (Sum up in two sentences)

Q 10. “Production is carried on for profit, not for use. There is no provision that all those able and willing to work will always be in a position to find employment; an “army of unemployed” almost always exists. The worker is constantly in fear of losing his job. Since unemployed and poorly paid workers do not provide a profitable market, the production of consumers’ goods is restricted, and great hardship is the consequence. Technological progress frequently results in more unemployment rather than in an easing of the burden of work for all. The profit motive, in conjunction with competition among capitalists, is responsible for an instability in the accumulation and utilization of capital which leads to increasingly severe depressions. Unlimited competition leads to a huge waste of labor, and to that crippling of the social consciousness of individuals which I mentioned before.”

BITS PILANI, DUBAI CAMPUS

Dubai International Academic City, U.A.E.

Semester I 2022-23

Mid-Sem (CLOSED BOOK)

Course No: HSS F211

Course Title: Modern Political Concepts

Date: 05 April 2023

Time: 90 mins

Maximum Marks: 30

Weightage: 30

Instructions:

- 1) **Please read the questions properly. Some of the Questions are divided into sub-sections. Answer each section.**
- 2) **The questions have been set to assess your attentiveness during the classes. Please avoid a common-sense approach while answering your questions.**
- 3) **Do not use the PPT template. Answer your questions in the essay format.**
- 4) **Write each answer in minimum 200 words. You can write your answers in more than 300 words as well if you are unable to sum up the answer in those many words. However, do not write more than the required word limit just to fill the space.**

Answer Key

Q 1. Which of the following is the final goal of revolutionary Socialism? **(1 mark)**

- a) Bring revolution b) Establish the rule of Proletariat c) Create a state-less society
- a) Establish the rule of bourgeoisie

Q2. Person a is standing in a protest holding a banner “Smash the Patriarchy.” The person believes in which of the following ideology **(1 mark)**

- a) Socialism b) Liberal Feminism c) Socialist Feminism d) Radical Feminism

Q3) Among your friends one of the Friends borrows money to buy things and delays the repayment. By nature he is....**(1 mark)**

- a) Marxist
- b) Socialist
- c) Keynesian
- d) Hayekist

Q4) Which of the following political thinkers stated that the free market self regulates **(1 mark)**

- a) Karl Marx
- b) Karl Marx and Engels
- c) Adam Smith
- d) Keynes

Q5) In the capitalist mode of production Spaces are divided into Public (for men) and Private (for women). Which of the following political concepts believe in this statement? **(1 mark)**

- a) Capitalism
- b) Socialist Feminism
- c) Communism
- d) Liberal Feminism

Q 6) Name the political Philosophers who suggested changing government through mass revolution. , please explain the key arguments they put forward towards the revolution. Is there any case to suggest that their suggestions were ever implemented? If so please elaborate. **(1+2+2 marks)**

Q7) Explain the key objectives of Feminism. How the Radical Feminism differs with Reformist Feminism in achieving Gender Equality? **(2+3 marks)**

Q8) Assume that you are a firm believer in Hayek's ideas on the economy. You are part of an advisory group that has been formed to give recommendations to the government for economic revival. What will be your recommendations? **(5 marks)**

Q9. Socialists and Communists both associate themselves with concepts of Socialism. What are the differing points of view in achieving the key goal of helping the underprivileged section of the society? (5 marks)

Glance through Socialism PPT and see the differences between Revolutionary Socialism (Communism) and Evolutionary Socialism. Elaborate in your own words.

Q10. Please read the note below. A)Based on your reading of Modern Political Concepts, please identify the political concept that the author can be associated with **(2.5 marks)**. B) Please also identify the most appropriate feature/terms the entire report represents. **(2.5 marks)**

A: Feminism

B: Misogyny

(YOUR ANSWER SHOULD NOT EXCEED MORE THAN TWO WORDS, one each for part A and part B of this Question)

Mori 'hates' running against women because of their 'tactics'

THE ASAHI SHIMBUN

March 24, 2023 at 17:02 JST

Speaking at a Tokyo fund-raiser for an Upper House member of the ruling Liberal Democratic Party on March 23, Mori reflected on his last Lower House election in 2009 when he faced a female candidate from the Democratic Party of Japan.

“I hate running against a woman,” said Mori, now 85. “While I should not disparage women, their campaign tactics are just out of this world.”

That was the election when the DPJ rode voter discontent with the LDP to drive the party out of power and engineer a change in government that turned out to be short-lived.

Mori faced Mieko Tanaka, then 33, in the Ishikawa No. 2 single-seat district.

Tanaka had no political experience or direct ties to the local district, but she still came within about 4,000 votes of upsetting the former prime minister, who had won 13 terms until then.

Looking back on that election, Mori said, “I felt as though I had worked for the benefit of the nation and the local community, but to find out there were people willing to give almost the same number of votes as myself to such a woman made me lose trust in my own district.”

He added that the election made him decide to retire as a lawmaker even though he said he was still relatively young at the time.

“I really understand the difficulty of an election in which women are the enemy,” Mori said.

While Mori later became the chairman of the Tokyo Olympic organizing committee, he was forced to resign before the start of the Games when he said that female board members prolong meetings because they are competitive and talk too much.

BITS PILANI, DUBAI CAMPUS
Dubai International Academic City, U.A.E.
Semester II 2022-23

Compre Exam (Closed BOOK)

Course No: GS F211 Course Title: Modern Political Concepts

Date: June 7, 2023 Time: 3hrs Maximum Marks: 40 Weightage: 40

Part I

Q1) Please write short notes on the following concepts in not less than 100 words each. Please give real-life example one each to explain the terms **(2X5=10 marks)**

- a) Crony Capitalism b) Universal Basic Income c) Living Wage d) Great Resignation e)
Surplus Value

Hints: Look into Capitalism, Socialism and Communism PPT and look into short videos and PPT. Give one example at least and explain in your own words. Try to meet the word limits.

Q2) What is Rabindranath Tagore's view on Nationalism. Why did he equate diamond with humanity and Nationalism with glass. What did he mean by these two metaphors (diamond and glass) **(5 marks)**
(Answer your questions in minimum 300 words)

Hints: Based on his visit to European countries and various East Asian countries especially Japan, Korea and China, he developed an opinion that nationalism has been used by the states around that world to whip people sentiments to wage war and increase its territorial boundaries. Using nationalism Japanese imperial army channelized people's sentiments and brought various countries under its rule. So did the European imperial powers.

Against these backdrops, Tagore developed his views that nationalism is undermining humanity which is the highest human ideals. That is why he has equated diamond with humanity and Nationalism with the glass. It is obvious that human beings give higher value to diamonds and lower value to glass. He used these two metaphors to highlight that nationalism should not be given preference over humanity.

Q3) What do you mean by Communism and Socialism. How these two political concepts view Equality. How do these two differ on achieving the equality? Please explain **(10 marks)**

Hints: look into the PPTs socialism and communism and examine how they have viewed equality. How do they differ on achieving equality.

Do not miss the point that Communism wants to bring revolution to change the system and reallocate the resources equally. It wants that state should be dissolved once equality is achieved otherwise a group of people recapture the state and will disproportionately distribute the state resources and inequality will be back in different form. Socialism on the other hand, wants to participate in the elections and form the government, make the policies through parliament and assemblies and thus address the problems of less advantaged people. The state should remain a permanent structure. Communism/Marxism, however, is of the view that the capitalist powers will influence the socialist parties in power and over the years there will be no fundamental difference between parties representing bourgeoisie.

WRITE AS MUCH AS YOU CAN IN YOUR OWN WORDS.

(Answer your questions in minimum 500 words)

Part II (reading based questions)/Text interpretation.

Q 4 and 5 are reading based. Do not BRING CONTENTS outside of the texts. I will mark you based on application of the text and arguments put forward by the authors in the text.

Q4) Please read the three reports taken from a newspaper. After thorough reading please answer the following question.

What logic these reports are putting forward to raise wage? **(5 marks)**

Report I

Japanese companies are showing strong earnings performances while stock prices continue rising. This is a welcome upturn in the economy, which remained sluggish during the COVID-19 pandemic. But wage hikes have so far been unimpressive even though shareholder returns have increased significantly.

To ensure sustained economic growth driven by consumer spending, companies should ramp up rewards to workers.

The companies listed on the former First Section of the Tokyo Stock Exchange are expected to report record-breaking levels of net profits for the fiscal year that ended in March. They are also projected to continue racking up hefty profits in the fiscal year ending in March 2024.

As train and airplane passenger traffic recovered, the three Japan Railways companies operating in Japan's Honshu main island and major airlines regained profitability. Higher energy prices have caused electric utilities to slip into the red while proving a big boon to trading houses.

Mitsubishi Corp. and Mitsui & Co. saw their net profits top 1 trillion yen (\$7.26 billion) for the first time. A weaker yen has boosted the yen-denominated profits from overseas operations. Five of the seven major automakers increased their profits.

If Japan's economic recovery is attracting foreign investors and pushing up stock prices, this is good news.

However, it should be noted that many companies have recently been focusing on shareholder returns such as increased dividends and share buybacks, and such moves have made their stocks popular among investors.

In March, the Tokyo Stock Exchange urged companies whose market valuations are below their net asset values to take steps to improve their management. Since then, a growing number of companies have announced measures to return profits to shareholders.

We should not be pleased about the large number of companies that have amassed massive profits but cannot make effective use of the money they have earned through standout performances. In some cases, the money should be returned to the shareholders.

But the effects of a share buyback used as a quick fix for the problem will be temporary. A rise in stock prices supported by such a measure does not last long.

The TSE itself cautioned against this approach, saying its request is not a call for "a temporary response." Companies should instead try to use their funds effectively to raise expectations for their futures so that their stock prices will rise as a result.

Critical to a company's long-term growth are future-oriented investments including spending to develop human resources and pay raises to reward its workers.

A certain level of wage hikes was achieved in this year's "shunto" spring labor negotiations. But the pay growth was not enough to compensate for higher prices. If households' incomes decline in real terms and depress their purchasing power, companies will have to pay a price.

On the other hand, further wage hikes leading to increased consumer spending will help companies achieve sustained growth. Given the strong profit prospects, it can be assumed that many Japanese companies can afford to offer additional wage increases.

In many other major countries, rapid interest rate hikes to curb inflation have put a crimp on the economy. A series of bank failures in the United States has also generated concerns about a possible financial crisis.

It is vital to put domestic demand on a firm footing to make the Japanese economy less vulnerable to an economic downturn overseas.

Real wages in Japan fell 0.9 percent in 2022, the first such decline in two years, as inflation drowned out pay increases, according to preliminary labor ministry data released Feb. 7.

Figures show that average pay packets in 2022 were fatter for the second straight year, 2.1 percent over 2021, marking the largest growth since 1991.

However, nominal wages were outmatched by rising living costs, with the consumer price index rising 3 percent, its highest increase since 2014 when the consumption tax rate was hiked from 5 percent to 8 percent.

In the meantime, real wages rose 0.1 percent last December compared with the same month a year earlier, the first increase in nine months, due to a 4.8 percent rise in nominal wages, which was slightly higher than the inflation rate.

However, the jump in average pay was led by bonuses typically paid in December in many Japanese companies, with the “special payment” category in the statistics showing a 7.6 percent increase.

On the other hand, the “regular payment” category, which means monthly salary, showed only a 1.9 percent increase, much smaller than the price hikes.

“It’s unlikely that real wages will keep on rising (amid the continuing price hikes),” said a ministry official, noting that far fewer businesses pay bonuses in January.

Report III

Rengo (Japanese Trade Union Confederation), Japan’s largest labor organization, decided to seek an overall wage increase of around 5 percent during next year’s “shunto” spring wage negotiations.

Given the rising prices and swelling corporate profits, Rengo’s shunto target represents a reasonable and necessary level of pay growth. Labor and management should make the utmost effort to hit that goal.

Specifically, Rengo wants an across-the-board increase in basic pay scale of around 3 percent combined with a periodic pay rise for the 5 percent expansion.

The figure is higher than Rengo’s wage growth target of around 4 percent over the past seven years.

Tomoko Yoshino, chair of Rengo, said the target reflected Rengo’s commitment to ensure pay growth reflects inflation.

The consumer price index rose 3 percent from a year earlier in September, the steepest rate of inflation in 31 years, except for rises due to consumption tax hikes.

The Bank of Japan expects the inflation rate for the entire fiscal 2022 to near 3 percent with a possibility of rising higher.

Workers' real wages decline if they are not raised in line with inflation.

In fact, the average real wage declined year-on-year for five straight months through August, according to labor ministry data.

The pay increase rate gained through shunto negotiations in recent years has been around 2 percent, including the regular raise. If pay growth remains at that level next year, Japanese workers' living standards will fall further.

Rengo has every reason to shoot for a higher shunto target than in recent years.

Rising prices of crude oil, gas and other natural resources translate into an outflow of wealth from Japan as a whole. But a weaker yen is increasing the earnings of many Japanese companies, especially exporters. Japanese firms also have huge cash reserves amassed over the years.

Japanese companies held 280 trillion yen (\$1.9 trillion) of cash and deposits last fiscal year. Many firms are returning profits to shareholders through higher dividend payouts and share buybacks.

While not all industries or companies are showing strong earnings performances, many Japanese companies can afford to offer wage hikes to return more of their profits to employees.

If companies opt to hold down pay raises to further build up cash reserves, consumer spending will shrink, hitting the companies' bottom lines.

This would be a textbook case of the fallacy of composition.

Labor and management should share this recognition and agree on a reasonable wage increase to compensate for inflation.

Masakazu Tokura, head of Keidanren (Japan Business Federation), recently said the price trend will be "the most important factor considered" in making wage decisions at the upcoming spring talks.

We hope Tokura, as chief of the most powerful business lobby, will provide effective leadership to persuade the management of companies to offer satisfactory pay increases.

To ensure pay growth in a wide swath of the economy, it is also important to allow prices of transactions between businesses to rise to reflect higher costs.

At the end of October, Prime Minister Fumio Kishida said the top policy priority is to ensure that wages will rise in tandem with inflation. The next shunto will be critical in enabling the Japanese economy to enter a "virtuous cycle of growth and distribution," he argued.

But policy measures to promote wage hikes in the government's comprehensive package to stimulate economic growth are clearly insufficient.

Kishida also referred to the development of “guidelines” for wage increases involving both Keidanren and Rengo. But he has offered no clue on the specifics.

It is necessary for the government to propose specific measures to push up wages for serious and meaningful policy debate on this crucial topic.

Q5) Please read the text I and II below. And answer the following Questions.

- i) What is greedflation **(1 mark)**
- ii) A) What are the scientific evidence that the author/authors are presenting to prove that there is greedflation**(2 marks)**
- iii) Does the wage hike lead to inflation? If not, then what are the evidence to say so? **(2 marks)**

Text I

Inflation Is Being Driven By Corporate Price Gouging

BY : [RICHARD BURGON](#)

There is mounting evidence that corporate profiteering is playing a key role in the latest wave of inflation, with profit margins soaring while real wages continue to fall. To fight inflation, we have to tackle corporate greed.

The debate on inflation in government, in Parliament, and in the Bank of England is dominated by the need to curb workers’ wages. But this approach has ignored the elephant in the room: the role that corporations are now playing in driving up inflation through price hikes designed to boost their profits.

There is [mounting evidence](#) that such corporate profiteering is playing a key role in the latest wave of inflation. Ordinary people, hit by the biggest fall in living standards since records began, are paying the price for this corporate greed. As a movement, we need to step up our fight against greedflation.

Higher inflation since late 2021 has, of course, been affected by big problems in supply chains — a result of post-COVID trade disruption and Russia’s war on Ukraine. Climate change is also impacting food production and prices. But two excellent studies have highlighted how soaring profits are now having a big impact.

The Institute for Public Policy Research (IPPR) and Common Wealth think tanks have shown that profits were up 34 percent at the end of 2021 compared to pre-pandemic levels and that nearly all of this increase in profits was due to just twenty-five companies. As the IPPR recently said, “While families struggle to make ends meet, some companies continue to make higher

profits from these price hikes. . . . It's time for policymakers to look at 'Greedflation' and prioritise reining in corporate profits, instead of blaming workers' wages for driving up inflation."

Unite the Union, using the latest available figures for the largest 350 companies on the London Stock Exchange, recently showed that profit margins for the first half of 2022 were nearly double — 89 percent higher than the same period in 2019 before the pandemic. As Unite general secretary Sharon Graham correctly states, "Make no mistake, profiteering has resulted in the high prices we've all had to pay."

Those organizations deserve great credit for bringing public attention to this debate. It is also very welcome that this focus on greedflation has gone well beyond the center left and is even openly discussed in the financial press, by investor bodies and by central bank officials.

One recent [Financial Times article](#) was headlined "'Greedflation': profit-boosting markups attract an inevitable backlash." A *Wall Street Journal* headline [asked](#), "Why Is Inflation So Sticky? It Could Be Corporate Profits" and went on to explain how "businesses are using a rare opportunity to boost their profit margins." *MoneyWeek*, a popular UK financial, ran a [piece](#) titled "What should we do about greedflation?" that noted how "Companies' price hikes have been driving inflation."

Likewise, London economists and investment strategists are openly saying corporate profits are driving price hikes. Albert Edwards, global strategist at Société Générale, one of the largest financial services groups in Europe, [tweeted](#), "More Greedflation? When are government [*sic*] going to force a halt to this price gouging?" The chief economist of UBS Global Wealth Management, Paul Donovan, stated that "Much of the current inflation is driven by profit expansion," adding, "Typically, one would expect about 15 percent of inflation to come from margin expansion, but the number today is probably about 50 percent."

A quick search shows that there is a broad range of officials — from those at UBS to Unite the Union, from Goldman Sachs and the European Central Bank to the US Economic Policy Institute (EPI) — suggesting that over half of all the current price markup is to do with corporate profiteering.

The Tory government, however, refuses to engage in this debate. Instead, it is using this crisis to weaken workers' wages. In the words of the Bank of England chief economist, people should just "accept they are worse off."

But wages are obviously not driving inflation. Real wages were down by 3.4 percent last year and continue to fall. The flip side of such wage falls is that “profits reached record highs” during 2022 and “remain historically high,” according to the *Financial Times*. So, where are the calls from Tory ministers for profit restraint?

If corporations hiking their prices to maximize those profits is now a major cause of the inflation crisis, what should be done about it? In the words of Robert Reich, the prominent US economist and former US secretary of labor under Bill Clinton, “To control inflation, we must take aim at corporate profits, not working people.”

In Parliament, I recently organized a debate on greedflation. Below are the three key ideas I pushed to tackle it.

An Excess-Profits Tax

Firstly, the kind of tax we have seen on the superprofits of oil and gas firms should be extended to all the other sectors of the economy that are making excess profits from this crisis at the expense of ordinary people. That would send a clear message to these companies that their profiteering must stop.

There’s rightly been a huge focus on the eye-watering profits of energy firms, though the government’s windfall tax has failed to deal with this properly and is full of loopholes. But excess profits are evident in other sectors too. For example, the big five banks are reporting soaring profits as they take advantage of higher interest rates, while supermarkets, food manufacturers, and agribusiness have benefitted from profit spikes.

The Treasury should set up a special unit for this excess-profit tax that can go after those all companies that are blatantly profiteering, ripping off customers, fueling inflation, and deepening the cost-of-living crisis. It’s worth noting that even Tory chancellor Rab Butler imposed such a tax in his 1952 budget speech, where he stated that “At a time like this, sacrifices should be equally borne. We are not prepared to see excessive profits being made.”

Price Caps

The government’s Energy Price Guarantee introduced last year, despite its obvious flaw of not making energy prices low enough, was an important break with the idea that the government cannot interfere in market pricing to protect people. Such price controls should be extended to

other sectors. It is very welcome that London mayor Sadiq Khan has called for powers to allow him to impose private rent controls in London. Other countries do this, so why not here?

On soaring food prices, the French government has secured a deal with some of the country's major retailers to place a price cap on staple foods to ease the pressure of inflation on consumers. So when we have the price of popular brands of baby formula soaring by 45 percent, shouldn't we do that too?

The public backs this. A poll last year showed that 71 percent of voters support price controls that "place limits on the prices that companies can charge for certain goods and services, such as energy, housing and other essential goods," including on essential foods. This support even includes the overwhelming majority of Tory voters.

Public Ownership

Finally, hardly a day goes by when the effects of the privatization of our public services are out of the news, from the sewage scandal to rip-off rail fares and eye-watering energy prices. Every penny in profits that goes to lining the pockets of these scandal-hit companies is paid for by the public.

Returning energy, rail, water, and other key utilities to public ownership — where they can be run for people, not profit — is the best way of ensuring a permanent end to the profiteering that so many of these privatized companies are gratuitously engaged in.

Text II

No, Rising Prices Are Not Being Driven by Rising Wages

BY : [GRACE BLAKELEY](#)

It's not rising workers' wages that are causing spiraling inflation — it's corporate profiteering.

Anyone observing the political debate about inflation in the UK could be forgiven for thinking that rising prices were being driven by rising wages. Politicians and technocrats from across the political spectrum have taken it upon themselves to chastise workers for demanding wage increases in line with inflation.

These calls for wage restraint were intolerable enough when they were coming from the head of the Bank of England, [Andrew Bailey](#), who earns more than half a million pounds a year. Now

Boris Johnson — who reportedly found it so hard to survive on a prime minister's salary of £164,000 per year that he had to approach a Tory donor to buy him some new curtains — has entered the fray.

Johnson has warned of a “wage-price spiral” if workers do not temper their salary demands — as have several Conservative and even Labour MPs. Well-paid politicians who have repeatedly voted to increase their own salaries while holding down those of nurses and teachers are now telling the rest of the country not to ask for higher wages. The spectacle might be funny if it were not so elitist.

The Conservative Party didn't seem to have a problem dishing out billions of pounds worth of loans and grants to giant corporations who needed support during the pandemic. And this came on the back of several years of high profits for the UK's largest businesses — partly driven by the drastic cuts to corporation tax introduced by George Osborne.

Meanwhile, the average worker in the UK did not receive a real-terms pay rise in the decade that followed the financial crisis, leaving the UK with one of the weakest performances on wage growth out of all OECD countries. Now, with costs rising, millions of families are finding themselves unable to heat their homes.

With rates of unionization having declined almost every year since the late 1970s (with a notable reversal over the last few years), workers in most sectors are simply not in a position to demand higher wages. Those that are better unionized — notably in the public sector — are still only demanding wage increases in line with inflation. This is another way of saying that they are attempting to protect themselves from pay *cuts*.

The statistics show very clearly that the cost of living crisis is not being driven by workers demanding higher wages. The combination of the war in Ukraine and disturbances to supply chains that took place during the Great Lockdown are the main factors explaining higher prices. As I argued in *Tribune* last week, the crisis in [global shipping](#) is particularly important in explaining why prices have risen so much over the last few years.

But the issue isn't simply macroeconomic changes that are beyond our control — it's also the profiteering of large corporations in response to the inflationary environment.

Levels of market concentration have been steadily rising in the UK in recent years, and monopolistic and oligopolistic sectors have seen higher price rises during the pandemic than

more competitive sectors. These corporations are using economywide price increases as an excuse to raise their prices by a significantly higher factor than the increase in their costs. Much of the increase in prices is, in other words, being driven by rising profits, not rising wages.

Inflation is always and everywhere a political phenomenon — it is a question of who pays. This government wants to make workers pay for the cost of living crisis, just as it made them pay for the pandemic and the financial crisis before it.

The government's callous approach to the cost of living crisis is precisely why it is so important for workers to unionize. Workers cannot rely on bosses providing "fair" wage increases out of enlightened self-interest, nor can they rely on the government supporting wage increases to support the recovery. They have to demand the pay that they deserve from a position of power.

The response from both the Labour and Conservative parties to the recent rail strikes demonstrates quite clearly how threatened politicians feel by workers who dare to organize to defend their interests. In well-unionized sectors, bosses cannot simply shift the costs of rising prices onto low-paid staff — they have to bargain with the people they're attempting to exploit.

This government — and most of the opposition — would quite like workers to sit down and shut up in response to falling real wages. But they do have another option: they can organize instead.